Ownership and control of firms

The recent controversies over corporate bonuses and executive pay connect with a broader debate about how firms are managed. With the rise of the modern corporation, ownership and management of firms has become separated: companies are owned by their shareholders, but they are run by professional managers, and the interests of shareholders and managers do not necessarily coincide. Shareholders want high profits as this increases their wealth, while salaried managers might be less concerned with the profit of the firm as a whole than with their pay and perks.

In this case, the question is how best can shareholders monitor managers and get them to act to raise the value of the firm? This is far from straightforward, particularly when a firm is owned by a large number of small shareholders with little detailed knowledge of its day-to-day operations. With so many shareholders it can be hard for them to organize and respond to the actions of management when things go wrong.